



Annual & Five-Year Development Impact Fee Report

Fiscal Year Ended June 30, 2023

December 21, 2023

Prepared by:
NBS
for the
CITY OF TEHACHAPI



City of Tehachapi



City Officials

Michael Davies, Mayor (District 3)
Joan Pogon-Cord, Mayor Pro Tem (District 4)
Phil Smith, Councilmember (District 1)
Jeanette Pauer, Councilmember (District 2)
Susan Wiggins, Councilmember (District 5)

Officers

Tori Marsh, City Clerk
Marianna Gutierrez, City Treasurer

Administrative Team

Greg Garrett, City Manager
Hamed Jones, Finance Director
Thomas Schroeter, Attorney at Law
Jay Schlosser, Development Services Director
Don Marsh, Public Works Director

TABLE OF CONTENTS

- 1. Development Impact Fee Annual Report 1**
 - 1.1 Annual Report Requirements 1
 - 1.2 Types of Impact Fees and Impact Fee Funds 2
 - 1.3 Current Impact Fees 4
 - 1.4 Financial Summary Report 6
 - 1.5 Public Improvements 7
 - 1.6 Interfund Loans 8
 - 1.7 Refunds 8
- 2. Development Impact Five-Year Report 9**
 - 2.1 Five-Year Report Requirements 9
 - 2.2 Fund 128 Park & Recreation Impact Fee 10
 - 2.3 Fund 129 Public Facilities Impact Fee 10
 - 2.4 Fund 228 Traffic Impact Fee - Core & Regional Facilities 11
 - 2.5 Fund 440 Water Entitlement Fees 12
 - 2.6 Fund 443 Water Connection Fees..... 13
 - 2.7 Fund 445 Sewer Connection Fees..... 14

1. DEVELOPMENT IMPACT FEE ANNUAL REPORT

The California Mitigation Fee Act (Government Code Sections 66000 et seq.) mandates procedures for administration of impact fee programs, including collection and accounting, reporting, and refunds. The Mitigation Fee Act requires annual reporting on each impact fee fund, as well as a separate five-year report. This Section meets the requirements for the Annual Report. Section 2 meets the requirements for the Five-Year Report.

1.1 Annual Report Requirements

Section 66006 (b) (1) requires that once each year, within 180 days of the close of the fiscal year, the local agency must make available to the public the following information for each separate account established to receive impact fee revenues:

1. A brief description of the type of fee in the account or fund; *(see report section 1.2)*
2. The amount of the fee; *(see report section 1.3)*
3. The beginning and ending balance of the account or fund; *(see report section 1.4)*
4. The amount of the fees collected, and interest earned; *(see report section 1.4)*
5. Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the percentage of the cost of the public improvement that was funded with fees; *(see report section 1.5)*
6. Identification of the approximate date by which the construction of a public improvement will commence, if the City determines sufficient funds have been collected to complete financing of an incomplete public improvement; *(see report section 1.5)*
7. A description of each inter-fund transfer or loan made from the account or fund, including interest rates, repayment dates, and a description of the improvement on which the transfer or loan will be expended; *(see report section 1.6)*
8. The amount of any refunds or allocations made pursuant to Section 66001, paragraphs (e) and (f). *(see report section 1.7)*

The annual report must be reviewed by the City Council at its next regularly scheduled public meeting, but not less than 15 days after the statements are made public, per Section 66006 (b) (2).

Section 66013(d) has similar requirements for water and wastewater capacity charges in that, within 180 days after the close of each fiscal year, the local agency must make available to the public the following information:

1. A description of the charges deposited in the fund; *(see report sections 1.2 and 1.3)*
2. The beginning and ending balance of the fund and the interest earned from investment of moneys in the fund; *(see report section 1.4)*
3. The amount of charges collected in that fiscal year; *(see report section 1.4)*

4. An identification of:
 - a. Each public improvement on which charges were expended and the amount of expenditure for each improvement, including the percentage of the total cost of the public improvement that was funded with those charges if more than one source of funding was used; *(see report section 1.5)*
 - b. Each public improvement on which charges were expended that was completed during that fiscal year; *(see report section 1.5)*
 - c. Each public improvement that is anticipated to be undertaken in the following fiscal year; *(see report section 1.5)*
5. A description of each interfund transfer or loan made from the capital facilities fund, including the public improvement on which the transferred or loaned charges are or will be expended and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the fund will receive on the loan. *(see report section 1.6)*

1.2 Types of Impact Fees and Impact Fee Funds

The fees documented in the body of this Annual Development Impact Fee Report (Report) include those listed below. The revenue and expenditures for each fee type are tracked by the City in separate funds.

Table 1. Impact Fees and Funds FY 2022-23

Fund No.	Fund/Fee Name	Purpose and Use of the Fee
128	Park and Recreation Development Impact Fee ¹	Per City Resolution 9-21, further corrected by 36-21, the purpose of this impact fee is for developing, improving, and enhancing public parks and recreation facilities servicing residential development. The basis for the fees as adopted by City Council is detailed in the “<i>Parks and Recreation and Civic Facilities Development Impact Fee Study</i>” report. The report calculated a city share fee for parks and recreation infrastructure needed to serve new development, as well as a Tehachapi Valley Recreation and Park District share fee. The City of Tehachapi collects and spends the city share portion of the fee only, which is documented herein for purposes of compliance with the Mitigation Fee Act’s Annual and Five-Year reporting requirements. Uses for impact fee revenue are identified in the district’s capital improvement plan, the Open Space/Recreation Element of the City’s General Plan, and other planned projects approved by the City Council described in the impact fee report.

¹ In addition to development impact fees, Tehachapi Municipal Code Section 17.42 – Park and Recreation Land Dedication sets forth the requirement for which dedication of land and/or payment of a fee in lieu of dedication is required. Per City Finance Department, the City has not collected any fees in lieu of land dedication. Therefore, no reporting on a separate fund for these fees is shown.

Fund No.	Fund/Fee Name	Purpose and Use of the Fee
129	Public (Civic) Facilities Development Impact Fee	Per City Resolution 10-21, further corrected by 8-23, the purpose of this impact fee is to construct Civic Facilities as described in the <i>“Parks and Recreation and Civic Facilities Development Impact Fee Study”</i> report, and to reimburse any capital outlay for completed facilities designed to support growth including the police station and City Hall Annex. Impact fee revenues will be used accordingly.
228	Transportation Impact Fee – Core and Regional	Per City Resolution 37.06, the purpose of this impact fee is to reduce the impacts of increased demand on the city’s roadway network caused by new development. Impact fee revenues shall be used to finance the public facilities described in the Facilities List which is attached to the Resolution and Kern County Transportation Impact Fee Report, showing the list of projects eligible for impact fee funding. One Transportation Impact Fee is set for facilities needs specific to the core area of the city, and the other is set to pay for needs specific to the regional/unincorporated County area.
440	Water Entitlement Fee	Per City Resolution 48-21, Section 13.08.020.B of the Tehachapi Municipal Code requires development outside of Zone A to provide sufficient water rights to accommodate the proposed development. If the developer has insufficient water rights, the Municipal Code requires the developer to purchase an allocation of water rights from the unallocated water rights owned by the City or if these are insufficient, to pay a “water entitlement fee” for each acre foot of water for which water rights are needed. Though development impact fees are governed by the Mitigation Fee Act, the fees are charged in-lieu of meeting the city’s water rights requirements for new development. The City has decided to report on these fees in a similar manner to other development impact fees.
443	Water Connection Fee	Per City Resolution 04-20 and supporting documentation, the purpose of the Water Connection Fee is to fund expansion of the water supply and storage facilities needed to serve new development. The fees collected will be used to finance the public facilities described in the <i>“Water and Sewer Connection Fee Study Final Report”</i> , January 30, 2020.

Fund No.	Fund/Fee Name	Purpose and Use of the Fee
445	Sewer Connection Fee	Per City Resolution 05-20, the purpose of the Sewer Connection Fee is to finance wastewater treatment and disposal facilities to reduce the impacts of increased demand caused by new development within the City. The fees collected will be used to finance the public facilities described in the "Water and Sewer Connection Fee Study Final Report", January 30, 2020. The sewer city-wide fee recovers the cost of the wastewater treatment plant and other sewer assets that benefit the entire service area. Area-specific fees recover the cost of sewer trunk lines that only benefit their respective development areas.

1.3 Current Impact Fees

Development impact fees (DIFs) in the City of Tehachapi are one-time charges levied on new development in Tehachapi to fund various infrastructure, facilities, vehicles, and equipment. The following tables provide the list of impact fees charged by the City in Fiscal Year 2022-23:

Table 2. General Facilities Impact Fees Schedule FY 2022-23

Fee Name	Land Use	FY 2022-23 Fee Amount
Park and Recreation Development Impact Fee	Residential	
	*Single Family	\$3,401.47 (per Dwelling unit)
	*Multi-family	\$2,288.04 (per Dwelling unit)
	*City Share: TVRPD share of impact fees is collected separately by Kern County.	
	Source: Resolution 36-21	
Public (Civic) Facilities Development Impact Fee	Residential	
	Single Family	\$4,286 (per Dwelling unit)
	Multi-family	\$2,883 (per Dwelling unit)
	Non-Residential	
	Commercial	\$4,081 (per 1,000 sf)
	Industrial	\$2,032 (per 1,000 sf)
	Source: Resolution 10-21 and 8-23	Fees shown reflect increased amounts as of 1/31/23

Fee Name	Land Use	FY 2022-23 Fee Amount
Transportation Impact Fee – Core and Regional	CORE FEE	
	<i>Residential</i>	
	Single Family	\$2,952 (per Dwelling unit)
	Multi-family	\$2,073 (per Dwelling unit)
	<i>Non-Residential</i>	
	Industrial	\$109 (per ADT per 1,000 sf)
	Office Commercial	\$90 (per ADT per 1,000 sf)
	Retail Commercial:	
	Under 10,000 sq. ft	\$22 (per ADT per 1,000 sf)
	10,000 – 49,999 sq. ft	\$39 (per ADT per 1,000 sf)
	50,000 – 99,999 sq. ft	\$55 (per ADT per 1,000 sf)
	100,000 sq. ft & over	Minimum \$55 (per ADT per 1,000 sf) Based on Analysis
	REGIONAL FEE	
	<i>Residential</i>	
	Single Family	\$4,772 per dwelling unit
	Multi-family	\$3,351 per dwelling unit
	<i>Non-Residential</i>	
	Industrial	\$176 (per ADT per 1,000 Sf)
	Office Commercial	\$145 (per ADT per 1,000 sf)
	Retail Commercial:	
	Under 10,000 sq. ft	\$36 (per ADT per 1,000 sf)
	10,000 – 49,999 sq. ft	\$62 (per ADT per 1,000 sf)
	50,000 – 99,999 sq. ft	\$89 (per ADT per 1,000 sf)
	100,000 sq. ft & over	Minimum \$89 per ADT per 1,000 square feet, Based on Analysis
	Source: Traffic Resolution 37-06 & Kern County TIF; Exhibit A, Table 1b	

Table 3. Water and Sewer Connection Fees Schedule FY 2022-23

Fee Name	Development Area	FY 2022-23 Fee Amount
Water Entitlement Fee	Projects outside of Zone A	\$3,918 per acre foot
Water Connection Fee	City-wide	\$2047 (per EDU)
Sewer Treatment and Disposal Fee	City-wide	\$4822 (per EDU)
Downtown Trunk Fee	Downtown sewer service area	\$552 (per EDU)
Industrial Trunk Fee	Airport area, Nunes Ranch area, and other areas generally east of Dennison Road	\$52 (per EDU)
Mountain View Trunk Fee	Mountain View sewer service area	\$612 (per EDU)
Tucker Trunk Fee	Tucker sewer service area	\$1935 (per EDU)

1.4 Financial Summary Report

The following financial summary provides the beginning and ending balance of each impact fee fund described in Section 1.2, for the Fiscal Year End June 30, 2023. Also provided is the amount of fees collected and any interest earned. Figures shown in the table below are unaudited as of the date of this report.

Table 4. Financial Summary FY 2022-23

Fund No.	128	129	228	440	443	445
Description	Park & Recreation	Public Facilities	Traffic - Core & Regional	Water Entitlement	Water Connection	Sewer Connection
REVENUES						
Fees	98,643	128,832	112,445	131,614	76,600	190,913
Interest	4,105	-	42,626	25	-	65,006
Total Revenues	102,747	128,832	155,072	131,639	76,600	255,919
Fund Balance, Beginning of the Year¹	120,765	(2,971,888)	1,748,163	(564,527)	(1,102,324)	2,360,498
Fund Balance, End of the Year	223,513	(2,847,915)	1,903,235	(432,888)	(1,026,447)	2,584,798

¹ Beginning & Ending Fund Balance is matches FY 23 Trial Balance reports provided by the City's Finance Department

1.5 Public Improvements

This section of the Annual Report identifies each public improvement on which fees were expended for the Fiscal Year End June 30, 2023, the amount of the expenditures on each improvement, including the percentage of the cost of the public improvement that was funded with fees.

Table 5. Public Improvement Expenditures FY 2022-23

Fund	Fund Name	Project Name	Project Start FY	Project Finish FY	Project Phase	Total Project Cost	DIF Fees				
							Total Impact Fee Funded Amount	% Impact Fee Funded	Total Prior Year Impact Fee Expenditures	FY 2023 Impact Fee Expenditures	Impact Fee Funding Remaining
440	Water Entitlement	Water Rights Purchase	21-22	23-24	In Progress	\$ 699,000	\$ 699,000	100.0%	\$ 233,000	\$ 233,000	\$ 233,000
443	Water Mitigation Fee	IPR/Groundwater Sustainability Study	18-19	N/A	On-going Study	\$ 17,036	\$ 17,036	100.0%	\$ 16,312	\$ 724	\$ -
445	Sewer Connection Fee	IPR/Groundwater Sustainability Study	18-19	N/A	On-going Study	\$ 17,036	\$ 17,036	100.0%	\$ 16,312	\$ 724	\$ -
TOTAL						\$ 733,072	\$ 733,072		\$ 265,624	\$ 234,448	\$ 233,000

The Mitigation Fee Act also requires annual identification of the approximate date by which the construction of a public improvement will commence, if the City determines sufficient funds have been collected to complete financing of an incomplete public improvement. The projects listed above represent active uses of impact fee funds to complete current capital improvement projects. Other than the projects listed in the table above, the City has not identified any public improvements that have sufficient funds as of June 30, 2023, to complete the financing on incomplete public improvements.

Government Section 66013(d) has similar requirements for water and wastewater capacity charges to identify each public improvement that is anticipated to be undertaken in the following fiscal year. The current adopted Fiscal year 2023/2024 – 2027/28 Five-Year Budget identifies the following projects as planned for progress and/or completion in Fiscal Year 2023-24:

- Water Entitlement Fee Fund 440 will continue to pay note installments for purchased water rights.
- Water Capacity Increase Fund 443 will continue to repay Water Operating Fund 440 for a loan balance before scheduling completion of additional projects identified in the City's connection fee study.
- Sewer Capacity Increase Fund 445 has planned expenditures for increasing the capacity of the sewer plant.

1.6 Interfund Loans

The Mitigation Fee Act requires a description of each inter-fund transfer or loan made from the account or fund, including interest rates, repayment dates, and a description of the improvement on which the transfer or loan will be expended. There were no new interfund transfers or loans made between impact fee funds in Fiscal Year 2022-23. The following table summarizes the status of all existing interfund loans from the City's impact fee funds.

Table 6. Interfund Transfers & Loans as of FY 2022-23

Date of Loan	Maturity Date	Purpose of Loan	Original Advance	Lender	Borrower	Balance Due 06/30/23	Interest Rate
11/21/2016	6/30/2036	Building of new police facility and remodeling of the old police station into a City Hall Annex for the Development Services Department	\$ 1,735,000	445 - Sewer Capacity Increase Fund	129 - Facilities Impact Fee Fund	\$ 847,915.12	0.5%

1.7 Refunds

The refunding requirements for the Mitigation Fee Act are summarized as follows:

If the City determines that sufficient funds have been collected to complete financing on incomplete improvements for which impact fee revenue is to be used, it must, within 180 days of that determination, identify an approximate date by which construction of the public improvement will be commenced (Government Code Section 66001 (e)). If the agency fails to comply with that requirement, it must refund impact fee revenue in the account according to procedures specified in Section 66001 (d).

As discussed in this Section 1.5 of this report, determinations regarding sufficient funds collected to complete incomplete improvements are provided by the City's annual Capital Improvement Plan. The current adopted Fiscal year 2023/2024 – 2027/28 Five-Year Budget identifies projects and funding commitments accordingly. The City has not made a determination that sufficient funds have been collected to complete financing of any other incomplete public improvements. No refunds of impact fee monies were made or required.

2. DEVELOPMENT IMPACT FIVE-YEAR REPORT

This Section meets the requirements for the Five-Year Report.

2.1 Five-Year Report Requirements

Prior to 1996, The Mitigation Fee Act required that a local agency collecting impact fees was required to expend or commit impact fee revenue within five years or make findings to justify a continued need for the money. Otherwise, those funds had to be refunded. SB 1693, adopted in 1996 as an amendment to the Mitigation Fee Act, changed that requirement in material ways.

Now, Section 66001 (d) requires that, for the fifth fiscal year following the first deposit of any impact fee revenue into an account or fund as required by Section 66006 (b), and every five years thereafter, the local agency shall make all the following findings for any fee revenue that remains unexpended, whether committed or uncommitted:

1. Identify the purpose to which the fee will be put;
2. Demonstrate the reasonable relationship between the fee and the purpose for which it is charged;
3. Identify all sources and amounts of funding anticipated to complete financing of incomplete improvements for which impact fees are to be used;
4. Designate the approximate dates on which the funding necessary to complete financing of those improvements will be deposited into the appropriate account or fund.

Those findings are to be made in conjunction with the annual reports discussed above. If such findings are not made as required by Section 66001, the local agency could be required to refund the moneys in the account or fund, per Section 66001 (d).

Once the agency determines that sufficient funds have been collected to complete financing on incomplete improvements for which impact fee revenue is to be used, it must, within 180 days of that determination, identify an approximate date by which construction of the public improvement will be commenced (Section 66001 (e)). If the agency fails to comply with that requirement, it must refund impact fee revenue in the account according to procedures specified in Section 66001 (d).

The following provides Five-Year Report financial analysis and findings for each of the City's PFE Funds.

2.2 Fund 128 Park & Recreation Impact Fee

As of June 30, 2023, the Park & Recreation Fund has \$223,513 unexpended. Please consult Annual Report, Section 1.4 for details.

Findings for Fund 128 Park & Recreation Impact Fee:

1. Identify the purpose to which the fee will be put;

The purpose to which fee revenues will be put is as stated in the Annual Report, Section 1.2.

2. Demonstrate the reasonable relationship between the fee and the purpose for which it is charged;

The reasonable relationship between the fee and the purpose for which it is charged is substantiated by the most recent and applicable impact fee/nexus study completed by the City, See Annual Report, Section 1.2.

3. Identify all sources and amounts of funding anticipated to complete financing of incomplete improvements for which impact fees are to be used;

The City's impact fee and nexus study report identifies a list of improvements for which impact fees are to be used, as well as the portion of improvements to be funded by impact fee revenues.

4. Designate the approximate dates on which the funding necessary to complete financing of those improvements will be deposited into the appropriate account or fund.

The date of impact fee collection and deposit of funding is impossible to predict, as impact fee revenue is dependent on economic cycles associated with development activity. The City annually identifies public improvement projects that have sufficient impact fee funds available to complete, including approximate dates (fiscal year) of construction in the Capital Improvement Plan as adopted by City Council. The current adopted Fiscal year 2023/2024 – 2027/28 Five-Year Budget has not identified sufficient funding to complete financing of incomplete improvements. It should be noted that projects are constructed in tandem with TVRPD, requiring both entities to have enough funding from impact fees and other sources accumulated to initiate improvement projects. To date, the City and TVRPD have not identified sufficient funds available to finance incomplete improvements.

2.3 Fund 129 Public Facilities Impact Fee

As of June 30, 2023, the Public Facilities Fund has a negative balance of \$2,847,915. Please consult Annual Report, Section 1.4 for details. Also as described in Section 1.6 Interfund Transfers and Loans, the City's General Fund and Sewer Connection Fee funds loaned the Public Facilities fund for purposes of constructing facilities.

Findings for Fund 129 Public Facilities Impact Fee:

1. Identify the purpose to which the fee will be put;

The purpose to which fee revenues will be put is as stated in the Annual Report, Section 1.2.

2. Demonstrate the reasonable relationship between the fee and the purpose for which it is charged;

The reasonable relationship between the fee and the purpose for which it is charged is substantiated by the most recent and applicable impact fee/nexus study completed by the City, See Annual Report, Section 1.2.

3. Identify all sources and amounts of funding anticipated to complete financing of incomplete improvements for which impact fees are to be used;

The City's impact fee and nexus study report identifies a list of improvements for which impact fees are to be used, as well as the portion of improvements to be funded by impact fee revenues.

4. Designate the approximate dates on which the funding necessary to complete financing of those improvements will be deposited into the appropriate account or fund.

The date of impact fee collection and deposit of funding is impossible to predict, as impact fee revenue is dependent on economic cycles associated with development activity. As shown in the current adopted Fiscal year 2023/2024 – 2027/28 Five-Year Budget, all revenues in this fund will be utilized on an annual basis to repay existing interfund loans before scheduling completion of additional projects identified in the City's impact fee study.

2.4 Fund 228 Traffic Impact Fee - Core & Regional Facilities

As of June 30, 2023, the Traffic – Core & Regional Facilities Fund has a balance of \$1,903,235 unexpended. Please consult Annual Report, Section 1.4 for details.

Findings for Fund 228 Traffic Impact Fee - Core & Regional Facilities:

1. Identify the purpose to which the fee will be put;

The purpose to which fee revenues will be put is as stated in the Annual Report, Section 1.2.

2. Demonstrate the reasonable relationship between the fee and the purpose for which it is charged;

The reasonable relationship between the fee and the purpose for which it is charged is substantiated by the most recent and applicable impact fee/nexus study completed by the City, See Annual Report, Section 1.2.

3. Identify all sources and amounts of funding anticipated to complete financing of incomplete improvements for which impact fees are to be used;

Resolution 37.06 and the Kern County Transportation Impact Fee Report identifies a list of improvements for which impact fees are to be used, as well as the portion of improvements to be funded by impact fee revenues. Additionally, the City is in the completion phases of an updated impact fee study for traffic facilities.

4. Designate the approximate dates on which the funding necessary to complete financing of those improvements will be deposited into the appropriate account or fund.

The date of impact fee collection and deposit of funding is impossible to predict, as impact fee revenue is dependent on economic cycles associated with development activity. The City annually identifies public improvement projects that have sufficient impact fee funds available to complete, including approximate dates (fiscal year) of construction in the Capital Improvement Plan as adopted by City Council. The current adopted Fiscal year 2023/2024 – 2027/28 Five-Year Budget has not identified sufficient funding to complete financing of incomplete improvements.

2.5 Fund 440 Water Entitlement Fees

As of June 30, 2023, the Water Entitlement Fees Fund has a negative balance of approximately \$432,888. Please consult Annual Report, Section 1.4 for details. The fund balance is currently negative due to water rights being purchased by the City over the last few years. Future water entitlement fees will eventually bring the fund positive.

Findings for Fund 440 Water Entitlement Fees:

1. Identify the purpose to which the fee will be put;

The purpose to which fee revenues will be put is as stated in the Annual Report, Section 1.2.

2. Demonstrate the reasonable relationship between the fee and the purpose for which it is charged;

The reasonable relationship between the fee and the purpose for which it is charged is substantiated by the Water Entitlement Fee Study, October 26, 2021.

3. Identify all sources and amounts of funding anticipated to complete financing of incomplete improvements for which impact fees are to be used;

Not applicable. The Water Entitlement Fees are used to reimburse the City for water rights already purchased that are needed to serve new development, or to pay for additional water rights needed to serve future development, as development occurs.

4. **Designate the approximate dates on which the funding necessary to complete financing of those improvements will be deposited into the appropriate account or fund.**

The date of impact fee collection and deposit of funding is impossible to predict, as fee revenue is dependent on economic cycles associated with development activity.

2.6 Fund 443 Water Connection Fees

As of June 30, 2023, the Water Connection Fees Fund has a negative balance of \$1,026,447. Please consult Annual Report, Section 1.4 for details. Also as described in Section 1.6 Interfund Transfers and Loans, the Water Operating Fund loaned funds to the Water Connection Fee Fund for purposes of constructing facilities.

Findings for Fund 443 Water Connection Fees:

1. **Identify the purpose to which the fee will be put;**

The purpose to which fee revenues will be put is as stated in the Annual Report, Section 1.2.

2. **Demonstrate the reasonable relationship between the fee and the purpose for which it is charged;**

The reasonable relationship between the fee and the purpose for which it is charged is substantiated by the most recent and applicable connection fee study completed by the City, See Annual Report, Section 1.2.

3. **Identify all sources and amounts of funding anticipated to complete financing of incomplete improvements for which impact fees are to be used;**

The City's connection fee study report identifies a list of improvements for which fees are to be used, as well as the portion of improvements to be funded by fee revenues.

4. **Designate the approximate dates on which the funding necessary to complete financing of those improvements will be deposited into the appropriate account or fund.**

The date of fee collection and deposit of funding is impossible to predict, as impact fee revenue is dependent on economic cycles associated with development activity. All revenues in this fund will be utilized to repay a loan from Water Operating und 440 before scheduling completion of additional projects identified in the City's connection fee study.

2.7 Fund 445 Sewer Connection Fees

As of June 30, 2023, the Sewer Connection Fees Fund has a balance of \$2,584,798 unexpended. Please consult Annual Report, Section 1.4 for details.

Findings for Fund 445 Sewer Connection Fees:

1. Identify the purpose to which the fee will be put;

The purpose to which fee revenues will be put is as stated in the Annual Report, Section 1.2.

2. Demonstrate the reasonable relationship between the fee and the purpose for which it is charged;

The reasonable relationship between the fee and the purpose for which it is charged is substantiated by the most recent and applicable connection fee study completed by the City, See Annual Report, Section 1.2.

3. Identify all sources and amounts of funding anticipated to complete financing of incomplete improvements for which impact fees are to be used;

The City's "Water and Sewer Connection Fee Study Final Report", January 30, 2020, identifies a list of improvements for which fees are to be used, as well as the portion of improvements to be funded by fee revenues.

4. Designate the approximate dates on which the funding necessary to complete financing of those improvements will be deposited into the appropriate account or fund.

The date of impact fee collection and deposit of funding is impossible to predict, as impact fee revenue is dependent on economic cycles associated with development activity. The City annually identifies public improvement projects that have sufficient impact fee funds available to complete, including approximate dates (fiscal year) of construction in the Capital Improvement Plan as adopted by the City Council. The current adopted Fiscal year 2023/2024 – 2027/28 Five-Year Budget identifies planned expenditures for increasing the capacity of the sewer plant, beginning in Fiscal Year 2024.

Disclaimer: In preparing this report and any analysis and findings included herein, NBS has relied on several principal assumptions and considerations regarding financial matters, conditions and events that occurred or may occur in the future. This information and assumptions, including the City's budgets, financial reports, capital project data, and other information were provided by sources we believe to be reliable; however, NBS has not independently verified such information and assumptions. While we believe NBS' use of such information and assumptions is reasonable for the purpose of this report, some assumptions will invariably not materialize as stated herein and may vary due to unanticipated events and circumstances.